

Japan Quant Strategy

MLCCs and supply bottleneck effect: Next candidates, momentum positions, and tailwind from long-term investors' shift to Japan

In recent years, so-called MLCC (multilayer ceramic capacitors)-related stocks, such as Murata Manufacturing (6981) and Taiyo Yuden (6976), have been trading at elevated levels, attracting the attention of both domestic and overseas investors. While this phenomenon is seen by most market participants as an extension of fundamentals-driven AI demand, there has been little discussion from a technical perspective regarding upside potential or exit strategies.

We, the QDS team, have long viewed the current AI boom in relation to the EM (Emerging Markets) boom of the mid-2000s. Under this framework, we expect MLCC stocks to continue to enjoy upward momentum for the time being, albeit with some volatility. This is because, when compared to the EM boom, we believe the AI boom is currently past the sixth stage overall and that there is room for buying by both short-term and long-term investors.

Specifically, two MLCC-related companies (Murata and Taiyo Yuden), for example, are generally seen to possess oligopolistic market positions, a supply structure that makes it difficult to increase production. Consequently, when supply/demand tightens due to a surge in demand (extraordinary demand), their profits tend to grow more rapidly than their sales volume. In addition, the phenomenon of excess profits flowing to companies that command such supply bottlenecks is not unique to the current situation. For example, during the EM boom, following the first wave of infrastructure investment in the BRICs during the early phase (2002–2005), nickel smelting at Sumitomo Metal Mining (5713), ultra-thin copper foil at Mitsui Mining (5706), silicon wafers at Shin-Etsu Chemical (4063), and low-thermal expansion alloys at Shinpoku Materials (5542) all entered a period of excess profit generation that followed a similar pattern, propelled by rising volumes of flat-panel TVs, mobile phones, and semiconductors ([Figure 1](#)). Note that the correlation between stock prices in both phases is based on the results of measuring the “similarity” by applying an embedded method (Embedding), which utilizes return patterns as features after aligning each company’s stock prices using the Dynamic Time-Winding (DTW) method.

What is important is the sequence of events that led to the simultaneous collapse of these EM-related stocks in the second half of 2007. The subprime mortgage crisis was merely a trigger. In our view, the fundamental reason was that supply bottlenecks shifted from electronics components to bulk commodities and ocean freight rates ([Figure 2](#)), causing speculative capital (attempting to follow the shifting boom) to pull out simultaneously from the existing group of stocks. It is our belief that it was not that the oligopoly or technological advantages were compromised but rather that the source of excess profits shifted to the next group of stocks, where bottlenecks were forming within the supply chain. In other words, the sustainability of this profit depends more on the position of the bottleneck in the supply network than on the competitiveness of the company. **At present, there are few signs of such a “shift” driven by risk capital flowing into MLCC-related companies. Upstream sectors, such as semiconductors and manufacturing equipment, HBM, and CoWoS, are still on an expansion**

Global Quantitative and Derivatives Strategy

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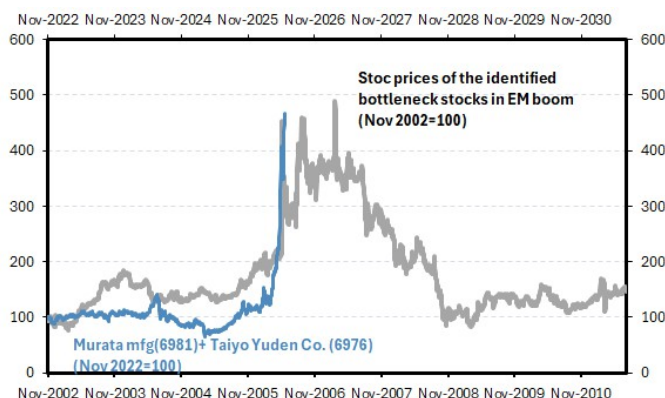
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trend, and the bottleneck position is likely to remain within the current stock group, including MLCCs.

Factor characteristics also reflect this. We estimate the factor structure of the two MLCC-related companies and the electrical equipment sector (TSE Sector 33) to which they belong (Figure 3). Recently, Momentum and Beta factors have been notably high while Quality has been low. Stock prices are currently being supported not by the quality of earnings but by price trends and market correlation (Beta). Of course, this could become a weakness if the expected peak of the AI boom is near. However, assuming that there is still room for growth in the AI boom itself, this combination is likely to produce positive returns over the short term (high expected returns). The core buyers are short-term momentum traders that follow the trend based on signs of improving earnings, and we think there is still room to build up positions, especially if the improvement in profit margin momentum is maintained.

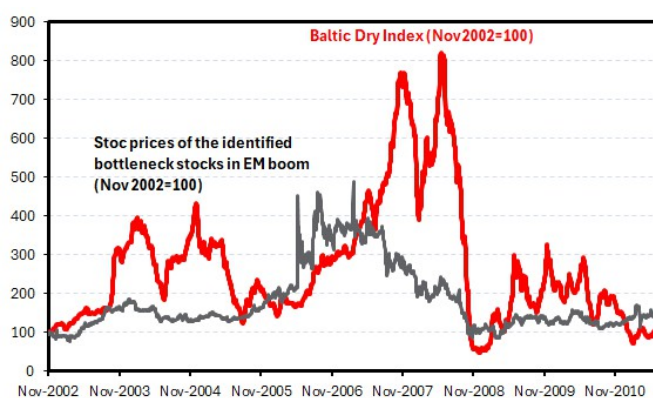
On the other hand, the flow of global active investment trusts, which represent long-term capital, are also likely to broadly support growth sectors such as electrical equipment. In terms of sector allocation to Japanese stocks by these active funds (focused on developed markets), the Technology, Hardware & Equipment sector (to which MLCC-related companies belong) has remained neutral to slightly underweight relative to the benchmark and has been largely stable for the past six months (Figure 10). It is highly likely that more patient, long-term investors have not yet entered the market for current bottleneck stocks such as MLCC-related companies. It seems reasonable to expect a pattern in which these long-term investors begin buying once a price correction has cooled the overheated market. In addition, global active funds are continuing a rotation that reduces China's weighting in their regional allocations and shifts it toward Japan, South Korea, and Taiwan as part of their broader investment strategy. From a relative perspective as well, growth sectors such as Japanese electrical equipment look well-positioned to benefit from this shift. From this perspective as well, we think that Japan's bottleneck-related stocks, such as MLCC makers, have characteristics that are easy to sustain once momentum is maintained. However, given their high Beta and low Quality, investors should be aware that corrections during cool-down periods tend to be both rapid and severe. On the other hand, when considering taking profits on MLCC-related companies, it could be appropriate to measure the situation based on three factors: the position of the upstream semiconductor and manufacturing equipment cycles, the allocation of long-term overseas capital, and the rise of the next bottleneck-related sector.

Figure 1: Similar patterns seen in the AI Boom and the EM Boom (example of Japanese stocks) – The same behavior seen in current MLCC-related stocks also occurred among bottleneck stocks during the EM boom



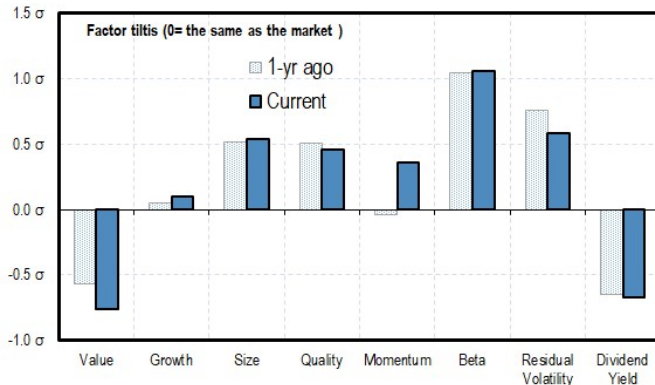
Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 2: Similar patterns seen in the AI Boom and the EM Boom (example of Japanese stocks) – The “bottleneck cascade effect” during the EM boom subsequently shifted its main focus to ocean freight rates



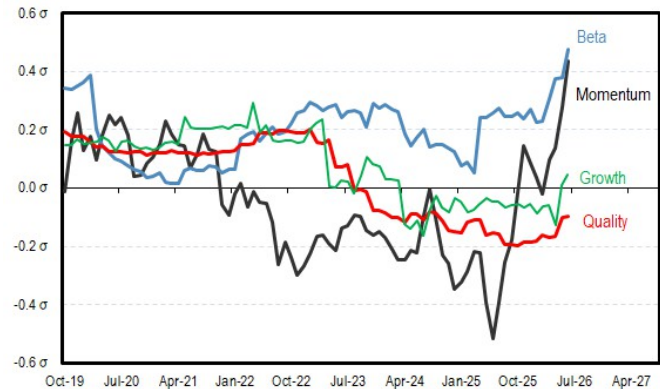
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Figure 3: Factor exposure of electrical equipment (TSE 33 sector): As of June 12



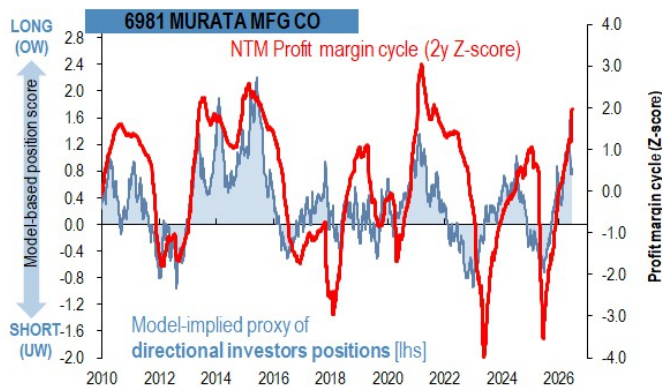
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Figure 4: Factor exposure of two MLCC-related companies (Murata Manufacturing and Taiyo Yuden): As of June 12



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 5: Estimated net position and profit margin momentum of Cash Equity Trend-Followers for two MLCC-related companies: Murata Manufacturing



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 6: Estimated net position and profit margin momentum of Cash Equity Trend-Followers for two MLCC-related companies: Taiyo Yuden



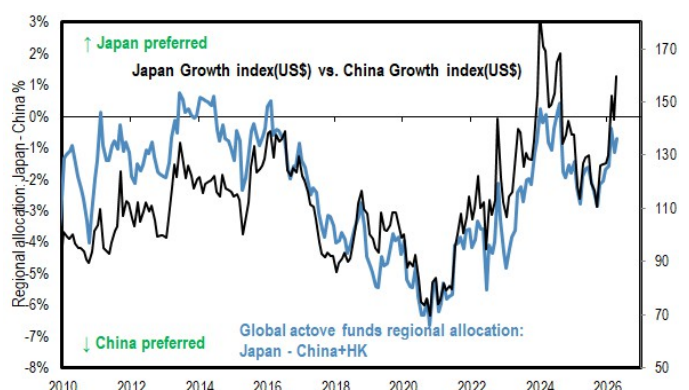
Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 7: Regional Allocation of global active investment trusts (DM+EM) (mainland China stocks + Hong Kong stocks) and US import ratios from China



Source: EPFR, Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 8: Relative differences in regional allocation of global active investment trusts (DM+EM) (Japanese stocks vs. mainland China stocks + Hong Kong stocks) and relative performance of growth stock indices (Japanese stocks vs. Chinese stocks)



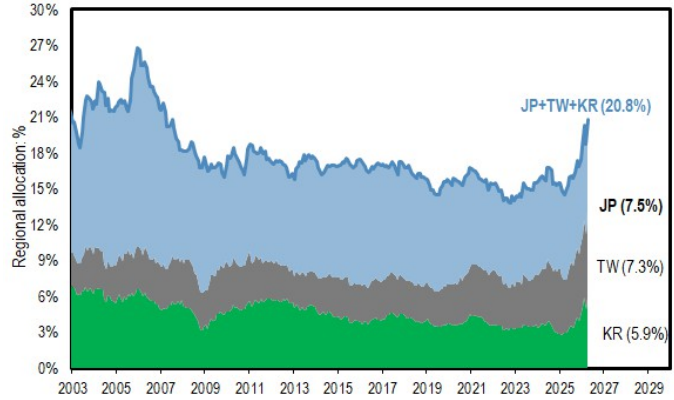
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Figure 9: Regional allocation of global active investment trusts (DM+EM): As of end-April



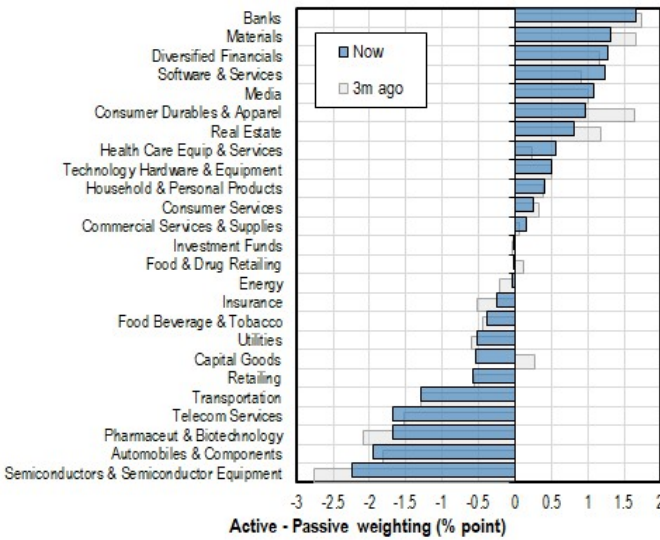
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Figure 10: Regional allocation of global active investment trusts (DM+EM) – Trends for Japan, South Korea, and Taiwan: As of end-April



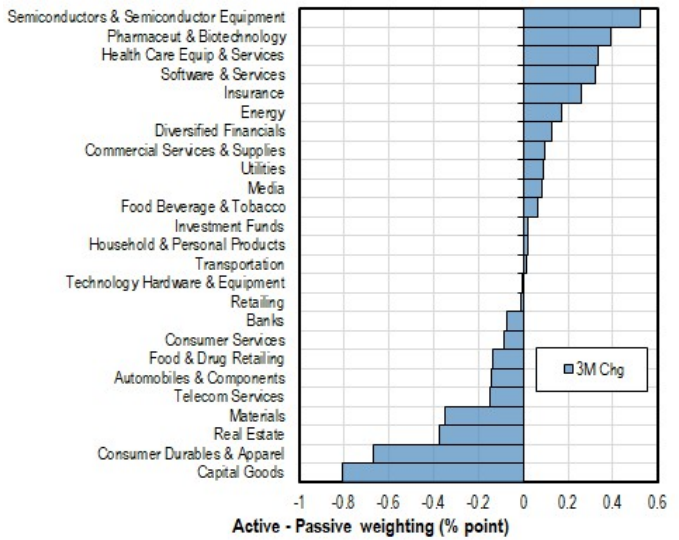
Source: EPFR, Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 11: Sector weightings of Japanese stocks in global active investment trusts (DM) (Active vs. Passive): As of end-April



Source: EPFR, Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 12: Changes in sector weightings of Japanese stocks in global active investment trusts (DM) (Active vs. Passive): As of end-April



Source: EPFR, Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

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